

Ashika Stock Services Limited

September 23, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	200.00	CARE A-; Stable	Upgraded from CARE BBB+ and removed from Rating Watch with Developing Implications; Stable outlook assigned
Short-term bank facilities	RBI	300.00	CARE A1	Upgraded from CARE A2+ and removed from Rating Watch with Developing Implications
Commercial paper	RBI	100.00	CARE A1	Upgraded from CARE A2+ and removed from Rating Watch with Developing Implications

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has upgraded the long-term rating assigned to bank facilities of Ashika Stock Services Limited (ASSL) to CARE A-; Stable [from CARE BBB+; Rating Watch with Developing Implications (RWD)]. The short-term rating assigned to bank facilities and commercial paper has also been upgraded to CARE A1 (from CARE A2+; RWD).

CareEdge Ratings had earlier placed ratings of ASSL's debt instruments under RWD following the announcement of a scheme of amalgamation proposal, under which another group entity, Ashika Global Securities Limited (AGSL; erstwhile Ashika Credit Capital Limited [ACCL]) would become the holding entity for Ashika group³. As part of the scheme, Ashika Global Securities Private Limited (AGSPL) was to be merged with AGSL, and ASSL would become a wholly owned subsidiary of AGSL. The transaction has since been completed, with the Group receiving National Company Law Tribunal (NCLT) approval in May 2026. Consequently, ratings have been removed from Watch with Developing Implications.

While upgrading ratings of ASSL, CareEdge Ratings has considered ASSL's standalone credit profile, and factored in financial support from its parent, AGSL, given the strong financial, operational, and managerial linkages.

Upgrade in ratings reflects the group's established track record of profitable operations and extensive experience of its promoters in capital markets. Ratings also favourably factor in AGSL's comfortable capital structure, supported by a consolidated net worth (reported) of ₹1,283 crore as on June 30, 2026, and adequate liquidity. However, these strengths are partially offset by ASSL's modest scale of operations, intense competition leading to pressure on profitability in the recent years, exposure to capital market volatility, and susceptibility to regulatory and operational risks.

The group operates in diversified financial services segments including broking (retail and institutional), margin trading facility (MTF), investment banking, investments (equity and debt), and wealth management, among others. The group is also planning to venture into asset management in FY27; it has received in-principle approval from Securities and Exchange Board of India (SEBI) for the same. On a consolidated basis, AGSL reported a moderate profit after tax (PAT) of ₹59 crore in FY26 and ₹101 crore in Q1FY27 (₹88 crore in Q1FY26), with larger contributions from investment portfolio and broking business. CareEdge Ratings expects the group profitability to remain moderate in the near-to-medium term, considering the diversification plans and also notes the volatility in profits, inherent to the capital market business. ASSL's standalone revenues declined by ~10%, while PAT declined by ~55% in FY26, owing to subdued capital market activities - both broking revenue and interest income from MTF business posted decline.

As on March 31, 2026, AGSL (standalone) maintained a liquidity of ~₹100 crore and an equity investment book of ₹560 crore. In the medium term, the management expects to run down the investment book and utilise the same to provide need-based support to its subsidiaries and new ventures including private credit/equity and asset management. CareEdge Ratings takes comfort from the management's stated intention to maintain liquid investments of ~₹100 crore, on an ongoing basis, to meet the aforementioned group business requirements, if any.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

³Ashika Group: AGSL and its subsidiaries, including ASSL.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Significant improvement in overall credit profile of the Ashika group.
- Increase in market share and improvement in profitability on a sustained basis.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Weakening linkages with Ashika Group or its support philosophy.
- Deterioration in credit profile of the Ashika group.
- Sustained decline in profitability metrics and liquidity buffers.
- Increase in overall gearing levels above 2x on a sustained basis.

Analytical approach:

CareEdge Ratings has analysed standalone credit profile of ASSL, factoring its linkages with the parent (AGSL, the group holding company), given shared brand name and strong financial and managerial linkages.

Outlook: Stable

Stable outlook reflects CareEdge Ratings' expectation of steady improvement in operating and financial performance. Outlook also captures sustained capitalisation, adequate liquidity buffers, and expectation of financial support.

Detailed description of key rating drivers

Key strengths

Established track record of the group in capital market and established management

Ashika group has over three decades of experience in Indian capital market. ASSL is the group's flagship entity, which began its operations in 1994 and operated in the broking segment. Ashika Group is promoted by Pawan Jain and Daulat Jain. The company is managed by Daulat Jain, Co-founder and Managing Director of ASSL, who is supported by a professional team with relevant industry experience. The company has an eight-member board of directors, of which three directors are independent. ASSL has a basket of diversified products being offered, which includes broking services across segments including equity, derivatives, commodities and currency, providing MTF and distribution of financial products. The company has a client base of over 1,35,637, including high net-worth individual (HNI), corporate and retail as on March 31, 2026 (1,30,291 as on March 31, 2025), with an active clientele of 40,090 as on March 31, 2026 (34,234 as on March 31, 2025).

Comfortable capital structure

At the consolidated level, AGSL has a comfortable capitalisation profile, with a tangible net worth (TNW) of ₹1,168 crore as on March 31, 2026. This is supported by the ₹540 crore equity raise at AGSL in FY25 and FY26. ASSL's capitalisation also remains comfortable, with a TNW of ₹358.08 crore (PY: ₹270.64 crore) and an overall gearing (fund-based and non-fund-based) of 1.20x as on March 31, 2026 (PY: 1.12x). Fund-based gearing improved to 0.63x as on March 31, 2026, from 0.72x a year earlier. During the year, the company raised equity of ~₹68.18 crore through a rights issue subscribed to by its parent company (AGSL). Further, AGSL remains committed to extending loans to ASSL to support its growth.

Key weaknesses

Declined but moderate earnings profile

ASSL is engaged in the broking business and operates through direct and franchise models, with a network of 296 authorised persons (APs) as on March 31, 2026. The company's active client base has steadily expanded from 17,548 as on March 31, 2021, to 40,090 as on March 31, 2026, with retail clients accounting for ~97% of the total client base. In FY26, the company's total income declined to ₹155.28 crore (PY: ₹173.27 crore), and consequently, the PAT declined to ₹22.77 crore (PY: ₹50.85 crore). This was primarily due to subdued capital market activity, which adversely impacted the broking business; broking income declined by 31% in FY26, and interest income declined by 17%. In FY25, the company's total income had posted a strong 48% growth, driven by a 67% increase in interest income and a 32% rise in brokerage income.

ASSL's MTF portfolio expanded to ₹295.08 crore in FY26, from ₹183.40 crore a year earlier. As on March 31, 2026, the PAT margin, return on net worth (RONW), and cost-to-income ratio stood at 14.66%, 7.23%, and 74.39%, respectively.

Going forward, CareEdge Ratings expects the company's profitability to improve with an expansion in the MTF book, while the broking income is expected to remain volatile subject to level of capital market activities. Nevertheless, the company's ability to sustain margins while scaling up operations will remain a key monitorable.

Vulnerability of earnings to market volatility and competitive pressures

ASSL is primarily engaged in retail stockbroking business and in FY26 brokerage forms 33.24% of the total revenue with interest income constituting 48.09% and balance by other sources including depository income, and commission income among others. Brokerage income and interest income is directly a function of the market performance, which is highly volatile and exposes ASSL's earnings to volatility in stock markets. As the revenue base is dominated by broking and interest income, which remains influenced by volatility in market volumes, the company is attempting to diversify its revenue streams for higher stability across business cycles.

The company is exposed to fierce competition in the brokerage space. With the introduction of 100% digital and zero brokerage firms, brokerage rates are at competitive levels across the industry. However, with continuous efforts, traditional players including ASSL have been successful in building their digital platforms for its customers and sustain in this competitive industry. Apart from revenue diversification, the company's focus has been on maintaining client relationships, and hence, ASSL continues to offer its services in traditional (offline) and investment services. Given the competitive risks in the segment, it will be crucial to monitor the company's ability to maintain and further improve its market share and enhance profitability.

Susceptibility to regulatory changes

The capital market industry has experienced continuous regulatory changes aimed at enhancing transparency and preventing misuse of funds. These include requirement for brokers to upstream client funds to clearing corporations in form of cash, fixed deposit (FD) liens, or pledged mutual fund units, leading to higher operational and compliance costs. SEBI has mandated greater transparency and standardisation in disclosure of client charges through "true-to-label" guidelines. Several risk management measures have been introduced in the derivatives segment, such as upfront collection of option premiums, withdrawal of certain margin offsets (including calendar spread benefits on expiry day), imposition of higher minimum contract sizes for index derivatives, restrictions on the number of weekly expiry contracts, and additional margins on short option positions. These measures are aimed at curbing excessive speculative activity, and enhancing systemic stability, although they may impact trading volumes, particularly in the derivatives segment. Alongside regulatory changes, there has been an increase in transaction-related taxes, including securities transaction tax (STT), and revisions in long-term and short-term capital gains taxation. These changes have had a direct bearing on investor behaviour and, consequently, on the earnings profile of market intermediaries.

Through its amended directions dated February 13, 2026 (effective July 1, 2026), the Reserve Bank of India (RBI) has introduced a comprehensive framework governing bank credit to capital market intermediaries, including stockbrokers. These revised norms mandate fully collateralised lending, prescribe higher collateral quality (with significant cash components), and impose minimum haircuts, particularly on equity securities.

The broking industry has experienced a moderation in trading volumes, particularly in derivatives, since H2FY25. This was due to these regulatory guidelines and global market volatility. The operating environment also remains highly competitive, with the continued presence of low-cost brokerage firms exerting pressure on profitability of traditional players. Overall, while the evolving regulatory framework strengthens resilience and transparency of the capital market ecosystem, it also necessitates continuous investments in systems, processes, and compliance infrastructure, and may moderate growth in trading volumes.

CareEdge Ratings will continue to monitor ASSL's ability to adapt its technology, systems, and risk management processes to the evolving regulatory landscape while maintaining its business profile and competitive position.

Liquidity: Adequate

ASSL's liquidity profile is adequate with total cash and bank balances at ₹450.47 crore as on March 31, 2026, of which ₹53.49 crore was unencumbered and ₹396.99 crore was encumbered, which was in the form of lien marked FDs pledged with banks (against bank guarantees and other credit facilities) and stock exchanges for margin purposes. The company has been maintaining excess margin with exchanges, which provides adequate liquidity cushion to ASSL in case of exigencies. The company also had unutilised bank lines of ₹30.80 crore as on March 31, 2026, providing additional comfort.

Environment, social, and governance (ESG) risks

Not applicable

Applicable criteria

[Definition of Default](#)

[Financial Ratios - Financial Sector](#)

[Rating of short-term instruments](#)

[Notching by Factoring Linkages in Ratings](#)

[Rating Outlook and Credit Watch](#)

[Broking Firms](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Capital markets	Stockbroking and allied

About ASSL

ASSL was incorporated on 12th August 1994 as Ashika Financial Services Pvt. Ltd. and subsequently, in FY25, its name was changed to ASSL. It is a wholly owned subsidiary of AGSL (erstwhile ACCL).

ASSL is engaged in providing broking services in equity and equity derivatives (retail and institutional), currency, and commodity segments. Its operations also span across Wholesale Debt Market Segment, Clearing Member, Research Analyst services, Depository Participant - Central Depository Services Limited (CDSL) and National Securities Depository Limited (NSDL), Mutual fund and initial public offering (IPO) Marketing, Online Trading and MTF. The company has an active client base of 40,090 including HNI, corporate and retail as on March 31, 2026 (34,234 as on March 31, 2025). It also has a wholly owned subsidiary, Ashika Stock Broking IFSC Private Limited, which is registered as a stockbroker with India International Exchange (India INX) and NSE International Exchange (NSE IFSC) at GIFT City, SEZ, Gujarat.

ASSL- Standalone

Brief Financials (₹ crore)	March 31, 2024 (A)	March 31, 2025 (A)	March 31, 2026 (A)
Total income	116.88	173.27	155.28
Profit after tax (PAT)	29.43	50.85	22.77
Tangible net-worth (TNW)	222.88	270.64	358.08
Loan Book (Margin Trading Facility)	150.07	183.40	295.08
Cost-to-Income (%)	61.05	51.99	74.39
Overall Gearing* (x)	1.46	1.12	1.20
Return on net-worth (RONW) (%)	14.14	20.61	7.23

*including non-fund based limits utilised.

A: Audited. Note: These are latest available financial results.

About AGSL

AGSL (erstwhile ACCL), is a registered non-deposit taking non-banking financial company (NBFC) and classified as an Investment and Credit Company (NBFC-ICC). AGSL is primarily engaged in investment activity and also undertakes derivatives and algorithmic trading and provides inter-corporate and other loan facilities. AGSL is listed on the Bombay Stock Exchange (BSE) and the NSE (in Permitted to Trade (PTT) category), with a market capitalisation of ₹3,000 crore as on September 15, 2026.

The Group undertook a group organisation restructuring process (a composite scheme of amalgamation; approved by the Board of companies involved in November 2024) and the same received NCLT approval in May 2026. The scheme became effective from May 15, 2026. Post the restructuring, AGSL became the new holding company of the group. This restructuring and series of mergers were designed to consolidate operations, optimise resource utilisation, strengthen financial capacity, and create a more unified and streamlined NBFC platform. The group operates in diversified financial services segments including broking (retail and institutional), MTF, investment banking, merchant banking, alternative investment fund, investments (equity and debt) and wealth management, among others.

As on March 31, 2026, AGSL's consolidated TNW stood at ₹1,168 crore while PAT stood at ₹59 crore. The company reported a net worth of ₹1,283 crore and a PAT of ₹101 in Q1FY27.

Status of non-cooperation with previous CRA:

Not applicable

Any other information:

Not applicable

Rating history for last three years: Annexure-2**Detailed explanation of covenants of rated instrument / facility:** Annexure-3**For complexity level of instruments rated refer to Annexure-1.****Lender details:** Annexure-4**Disclosure on facilities/instruments and name of regulators:**

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Commercial Paper- Commercial Paper (Standalone) - Proposed	RBI	Simple	-	-	-	-	100.00	CARE A1
Fund-based - LT-Term Loan	RBI	Simple	-	-	-	31-07-2028	200.00	CARE A-; Stable
Non-fund-based - ST-Bank Guarantee	RBI	Simple	-	-	-	-	300.00	CARE A1

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Non-fund-based - ST-Bank Guarantee	ST	300.00	CARE A1	1)CARE A2+ (RWD) (16-Apr-26)	1)CARE A2+ (RWD) (10-Oct-25)	1)CARE A3 (17-Sep-24)	1)CARE A3 (03-Jan-24)
2	Fund-based - LT-Term Loan	LT	200.00	CARE A- ; Stable	1)CARE BBB+ (RWD) (16-Apr-26)	1)CARE BBB+ (RWD) (10-Oct-25)	1)CARE BBB; Stable (17-Sep-24)	1)CARE BBB; Stable (03-Jan-24)
3	Commercial Paper- Commercial Paper (Standalone)	ST	100.00	CARE A1	1)CARE A2+ (RWD) (16-Apr-26)	-	-	-

LT: Long term; ST: Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender detailsTo view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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About us:

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